

- The goods were already defective or did not comply with the terms of the contract at the time of clearance of the goods from official custody.
- The goods have not been used except for such use as may have been necessary to establish that they were defective or did not comply with the terms of the contract.
- The goods are taken out of the customs territory of the Union.

Article 118(4) UCC provides that, instead of being taken out of the customs territory of the Union, and upon application by the person concerned, the customs authorities can authorise that the goods be placed under the inward processing procedure, including for destruction, or the external transit, the customs warehousing or the free zone procedure. Where appropriate, a certificate of destruction should be obtained and retained in the repayment file.

It must be noted that whenever an applicant is authorised to destroy goods under official supervision, there must be no cost to the State. Where such destruction results in the production of waste or scrap of a kind liable to duty and which is not being re-exported outside the Union or placed in a customs warehouse, duty is payable on such goods as if they had been imported in that state.

In accordance with Article 180 UCC IA where export or destruction took place without customs supervision, repayment or remission on the basis of Article 120 of the Code can be considered.

Duty is not to be repaid or remitted in respect of defective or non-complying goods:

- Which, before becoming liable to duty, were imported temporarily for testing, unless it is established that the fact that the goods were defective, or did not comply with the contract, could not normally have been detected in the course of such testing, or
- Where the defective nature of which was taken into consideration in the drawing up of the contract, in particular with regard to the price, in pursuance of which the goods were put into free circulation, or
- Which the importer sold after it was discovered that they were defective or did not comply with the terms of the contract. An application for repayment or remission under this provision must be made within one year of notification of the customs debt.

10.2.4 Error by the competent authorities

The legal basis for granting repayment because of 'error by the competent authorities' is provided for in Article 119 UCC.

It must be noted that all applications for repayment or remission on the basis of Article 119 UCC must be referred for a decision to Traditional Own Resources Unit (TOR), Customs Division, Dublin Castle. Only the TOR Unit is competent to make a decision under Article 119.